
MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager *TJB*
DATE: May 18, 2022
SUBJECT: Professional Services Agreement between the City of Cheyenne and Waste Management of Colorado, Inc., for the Recycling Services Project

******NOTE: This agreement was previously approved by the Governing Body on April 11, 2022. At the time the agreement was presented to the Consultant, their legal team requested that an Addendum be attached/included with the PSA. As this was not included at the time it was originally presented to the Governing Body, it is being brought forward again in its amended form for consideration******

One (1) Responsive Proposal was submitted under Request for Proposal (RFP) #7-22, for the Recycling Services Project.

The proposal was received from:

1. Waste Management of Colorado, Inc., Fort Collins, Colorado.

Upon review of the one (1) proposal by the evaluation panel (consisting of 3 members), the evaluation panel has recommended acceptance of the proposal submitted by Waste Management of Colorado, Inc., for a project award amount not-to-exceed \$200,000.00. This Agreement is based on actual quantities recycled, and is billed in accordance with the Fee Schedule attached as Exhibit A, to the Professional Services Agreement. If future Contract renewals are executed after the original term of the Agreement ends, additional funds may need to be added as well.

Basis for award was based on a Qualifications based review and scoring of proposals. Waste Management of Colorado, Inc., submitted the highest scoring proposal, therefore their sealed pricing envelope was opened & reviewed.

Funding: 023-14-1423-43-21301 (Solid Waste Fund / Professional Services)

\$200,000.00

City Contract No. _____

PROFESSIONAL SERVICES AGREEMENT
for
RECYCLING SERVICES (RFP 7-22)

This Professional Services Agreement (“Agreement”) is made and entered into by and between the City of Cheyenne, located at 2101 O’Neil Avenue, Cheyenne, Wyoming 82001 (“City”), and **WASTE MANAGEMENT OF COLORADO, INC., located at 5887 S. TAFT HILL ROAD, FORT COLLINS, COLORADO 80526** (“Consultant”). This Agreement shall become effective upon the date of the last signature affixed hereto.

RECITALS

In consideration of the mutual covenants and obligations herein expressed, it is agreed by and between the parties as follows:

1. SCOPE OF WORK

The Consultant agrees to provide services as described for the above-mentioned project, in accordance with **City of Cheyenne Request for Proposal (RFP) #7-22**, incorporated herein by reference, the Consultant’s submitted proposal, incorporated herein by reference, and **Exhibit B – Addendum to Professional Services Agreement for Recycling Services.**

2. TIME OF PERFORMANCE

The work included in this Scope of Work will be completed by **April 15, 2023.**

3. COMPENSATION

This is a unit price, not-to-exceed Agreement. The City shall pay for actual services rendered. In consideration of the services to be performed pursuant to this Agreement, the Consultant will bill the City and the City agrees to pay Consultant a not to exceed amount of **Two Hundred Thousand Dollars (\$200,000.00)** as stated in **Exhibit A - Fee Schedule.**

4. CONSULTANT RESPONSIBILITY

In providing services under this Agreement, the Consultant shall perform in a manner consistent with that degree of care and skill ordinarily exercised by members of the same profession currently practicing under similar circumstances. Upon notice to the Consultant, the Consultant will, without additional compensation, correct those services not meeting such a standard.

5. COMPLIANCE WITH LAWS

The Parties agree that they will perform their obligations as provided in this Agreement in accordance with all applicable laws and ordinances.

6. DRUG-FREE WORKPLACE

In compliance with the Drug-Free Workplace Act of November 1988, the City of Cheyenne has established an Alcohol and Controlled Substance Policy that pertains to alcohol and drug usage by City Employees. All architects, engineers, and other consultants under contract with City of Cheyenne, and their employees and sub-consultants, are required to comply with the provisions of the City's Alcohol and Controlled Substance Policy for drug and/or alcohol usage on City property or other sites occupied by the Consultant while performing the duties and responsibilities of the Agreement. It is the responsibility of the Consultant to familiarize themselves with the requirements of this policy and to inform all their employees and sub-consultants of the requirements and ensure their compliance. If the Consultant, their employees or sub-consultants are found in violation of this policy, the Agreement may be terminated.

7. INDEMNIFICATION/HOLD HARMLESS

The Consultant agrees to indemnify, hold harmless, and defend the City from and against any and all liabilities, claims, penalties, forfeitures, and suits, and the cost and expenses incident thereto, including reasonable attorney's fees, which may hereafter arise as a result the performance of the Consultant's duties, including death or bodily injury to any person, destruction or damage to any property, contamination of or adverse effects on the environment, or any violation of governmental laws, regulations, or orders to the extent caused by (1) the Consultant's breach of any term or provision of this Agreement; or (2) any negligent or wrongful act, error, or omission by the Consultant, or its employees or sub-consultants in the performance of this Agreement. The Consultant acknowledges that it may incur a financial obligation to the City pursuant to the terms of this paragraph.

8. INSURANCE REQUIREMENTS

The Consultant must provide proof of the following insurance coverages:

Commercial General Liability Insurance

For claims arising out of bodily injury, illness, or death, or from damage to or destruction of property of others, including loss or use thereof, with minimum limits of \$1,000,000 per occurrence, \$2,000,000 aggregate for the entire term of the Agreement.

Workers' Compensation

Workers' compensation coverage shall be in effect for the entire term of the Agreement, as required by Wyoming law, for all employees or agents providing services under this Agreement. Consultant shall provide the City with proof of workers' compensation or employer's liability insurance coverage.

Professional Liability Insurance

The Consultant shall provide proof of professional liability insurance or errors and omissions liability insurance in an amount not less than \$500,000 to protect the City from any and all claims arising from the Consultant's negligence in the performance of duties under this Agreement. The City prefers that this liability insurance coverage be provided pursuant to an "occurrence" policy.

If this coverage is provided pursuant to a "claims made" policy:

- a. Consultant shall, concurrently with the execution of this Agreement, provide the City with a certificate of insurance demonstrating that such coverage is or shall be in effect at the time the Consultant begins the provision of services under this Agreement; and
- b. In the event the Consultant's services extend into a future policy period, the Consultant shall, prior to the policy expiration date, provide the City with a new certificate of insurance demonstrating that such coverage is or shall be in effect during all periods of time that Consultant will provide services under this Agreement; and
- c. Consultant shall maintain said "claims made" coverage for a period of five (5) years following the last date that Consultant has provided services under this Agreement; and
- d. In the event the Consultant or the insurer terminates "claims made" coverage prior to the expiration of the periods provided in subparagraphs a., b., or c. of this paragraph, the Consultant shall provide to the City advance written notification of the termination of said coverage and shall provide the City with an endorsement for an extended reporting period ("tail coverage") which shall be in effect for a period of time not less than five (5) years following the last date that Consultant has provided services under this Agreement.

Additional Insurance Information

The Consultant shall name the City of Cheyenne as **an Additional Insured** by endorsement on its insurance policies and shall provide the City with a copy of the endorsements. This requirement does not apply to workers' compensation and professional liability insurance policies.

Consultant shall provide the City with certificates of insurance acknowledging the above-stated coverages prior to beginning any work under this Agreement.

It is understood and agreed that these policies are primary and not contributory. All policies required under this Agreement shall be in effect for the duration of the Agreement. It shall be an affirmative obligation upon Consultant to immediately notify in writing the city risk manager, city clerk, and city attorney of any fact, circumstance, or occurrence that has resulted in or may result in the cancellation of, or substantive change to any insurance coverage required by this Agreement, and failure to do so shall be construed to be a breach of this Agreement.

If requested by the City, the Consultant shall provide the City with copies of insurance policies and/or policy endorsements listing the City of Cheyenne as an additional insured. The City's failure to request or review such policies, endorsements, or certificates shall not affect the City's rights or Consultant's obligation hereunder.

Any insurance company providing coverage under this Agreement shall have a minimum A. M. Best rating of A- (excellent).

9. MINORITY AND DISADVANTAGED BUSINESS ENTERPRISES 49 C.F.R. Part 26
All parties to this Agreement assure that no person will be excluded from participation in, denied the benefits of, or otherwise discriminated against, in connection with the award and performance of this Agreement on the grounds of age, race, color, disability, national origin, or sex.
10. MONTHLY REPORT
With every monthly billing, Consultant shall provide the City Representative with a written statement of the status of the work with respect to the Scope of Work, time sheets, and work schedule. Failure to provide the required monthly report will delay processing of any payment request until the report is submitted.
11. INDEPENDENT CONSULTANT
The Consultant shall function as an independent consultant for the purposes of this Agreement. The Consultant shall assume sole responsibility for any debts or liabilities that may be incurred by the Consultant in fulfilling the terms of this Agreement. Nothing in this Agreement shall be interpreted as authorizing the Consultant or its agents or employees to act as an agent or representative of or on behalf of the City or to incur any obligation of any kind on the behalf of the City.
12. TAXES
The Consultant agrees to pay all valid taxes, excises, license fees, permit fees, bills, debts, and obligations incurred by and in connection with its operations under this Agreement.
13. DEFAULT
Each and every term and condition in this Agreement shall be deemed to be a material element of the Agreement. In the event either party should fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.
14. REMEDIES
In the event a party has been declared in default, such defaulting party shall be allowed a period of fifteen (15) days within which to cure the default. In the event the default remains uncorrected, the non-defaulting party declaring default may elect to:
 - a. Terminate the Agreement and seek damages, which damages shall not exceed the contract amount; or
 - b. Treat the Agreement as continuing and require specific performance.

15. TERM AND TERMINATION

The term of this Agreement shall be from date of execution to **April 15, 2023**. The Agreement may be extended for **Three (3)** possible, **One (1)** Year extensions beyond that period. The parties may by mutual written agreement renew or extend this Agreement.

The City may, without cause, and upon thirty days' written notice to the Consultant, terminate this Agreement in whole or in part at any time, for the City's convenience. Upon receipt of such notice, the Consultant shall:

- a. Discontinue all services affected; and
- b. Deliver to the City within five (5) days all data, drawings, specifications, reports, estimates, summaries, and such other information and materials as may have been accumulated by the Consultant in performing this Agreement, whether completed or in process.
- c. In the event of termination for convenience, the City will pay the Consultant for accepted work done and expenses incurred to the date of termination. Such acceptance shall not be unreasonably withheld.

16. ADDITIONAL REMEDIES

In the event the Consultant fails to strictly perform in accordance with this Agreement, the City may elect to correct the deficiencies and charge the Consultant. In the event of default of any of the conditions by either party which shall require the party not in default to commence legal or equitable action against the defaulting party each party shall bear its own costs and expenses, including without limitation, attorney's fees.

17. GOVERNING LAW, JURISDICTION AND VENUE

The construction, interpretation, and enforcement of this Agreement shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

18. GOVERNMENTAL IMMUNITY

The City of Cheyenne, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retains all immunities and defenses available to it as a sovereign or governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal law. Designations of venue, choice of law, enforcement actions, and similar provisions should not be constructed as a waiver of governmental immunity. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to governmental or sovereign immunity shall be construed in favor of governmental immunity.

19. MONITORING ACTIVITIES

The City shall have the right to monitor all activities related to this Agreement that are performed by the Consultant or its sub-consultants. This shall include, but not be limited to, the right to make site inspections at any time and with reasonable notice; to bring experts and consultants on site to examine or evaluate completed work or work in progress; to examine the books, ledgers, documents, papers, and records pertinent to this Agreement; and to observe personnel in every phase of performance of the related work.

20. OWNERSHIP OF DOCUMENTS AND WORK PRODUCT

All deliverables by the Consultant, all work product of the Consultant, all notes, calculations, memoranda, or any other documentation generated by the Consultant pursuant to the scope of this Agreement, shall be the property of the City of Cheyenne and shall be provided to the City of Cheyenne immediately upon request.

21. NON-DISCRIMINATION

The Consultant shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. § 27-9-105, *et seq.*), the Americans With Disabilities Act (ADA), as amended, 42 U.S.C. § 12101, *et seq.*, and the Age Discrimination Act of 1975 and any properly promulgated rules and regulations thereto, and shall not discriminate against any individual on the grounds of age, sex, creed, color, race, religion, national origin, ancestry, pregnancy or qualifying disability in connection with the performance under this Agreement.

22. FORCE MAJEURE.

The performance of the Agreement by either party shall be subject to force majeure including, but not limited to, acts of God, fire, flood, natural disaster, war or threat of war, acts or threats of terrorism, civil disorder, unauthorized strikes, governmental regulation or advisory, recognized health threats as determined by the World Health Organization, the Centers for Disease Control, or local government authority or health agencies (including, but not limited to, the health threats of COVID-19, H1N1, or similar infectious diseases), curtailment of transportation facilities, or other similar occurrence beyond the control of the parties, where any of those factors, circumstances, situations, or conditions or similar ones prevent, dissuade, or unreasonably delay the performance required by this Agreement. The Agreement may be cancelled by either party, without liability, damages, fees, or penalty, and any unused deposits or amounts paid shall be refunded, for any one or more of the above reasons, by written notice to the other party.

23. PROFESSIONAL REGISTRATION

The Consultant shall endorse, as required by law, plans and reports prepared under this Agreement, and shall affix thereto his or her seal of professional registration, showing that he or she is licensed to practice in the State of Wyoming, if necessary.

24. ENTIRETY OF AGREEMENT

This Agreement, consisting of Seven (7) pages, RFP 7-22 consisting of Twenty (20) pages, the Consultant's submitted proposal, consisting of Thirty-One pages (31), Exhibit A, Fee Schedule, consisting of Eight (8) pages, and Exhibit B – Addendum to Professional Services Agreement for Recycling Services, consisting of four (4) pages, contain the entire understanding of the parties. There are no other terms or conditions, written or oral, concerning or controlling this matter.

IN WITNESS WHEREOF, the Parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood, and knowingly and voluntarily agreed to the terms and conditions of this Agreement. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument.

City of Cheyenne

(SEAL)

By: _____
Patrick Collins, Mayor

Attest:

Kristina F. Jones, City Clerk

Date: _____

Consultant

By: _____

Print Name: _____

Date: _____

ALWAYS WORKING FOR A SUSTAINABLE TOMORROW

We are proud to support companies that create products from recyclables like the materials used to create this proposal package.

Thank you for the opportunity to respond. We encourage you to reuse this binder as much as you can before recycling it.

wm.com



CITY OF CHEYENNE, WYOMING

Recycling Services

Request for Proposal #7-22

Due on March 11, 2022, at 3:00 P.M.



For Tomorrow

SUBMITTED BY

Waste Management of Colorado, Inc.

CONTACT

Curtis Gardner,
Public Sector Representative
(720) 413-5511
cgardne7@wm.com

**RECYCLING
SERVICES –
PRICE
PROPOSAL**





Waste Management of Colorado, Inc.
5887 S. Taft Hill Rd.
Ft. Collins, CO 80526

March 11, 2022

City of Cheyenne
2101 O'Neil Avenue,
Room 309
Cheyenne, WY 82001

Attn: TJ Barttelbort, Purchasing Manager

Dear Mr. Barttelbort:

Waste Management of Colorado, Inc. (WM) is pleased to present the following response to the City of Cheyenne's (Cheyenne) Request for Proposal #7-22 for Recycling Services (RFP). All contractual responsibility for this contract will rest solely with Waste Management of Colorado, Inc.

Our customers are at the center of how we work. We value their safety, their time, their ability to impact the environment positively, and their business. We are committed to providing personalized solutions with services that meet their unique service needs and expectations. We will continue to bring this same level of dedication and personalization to the City of Cheyenne if selected as your recycling services partner.

As the nation's leading processor of residential recyclables, we have the expertise, infrastructure, and materials marketing team to give your community peace of mind knowing that your recyclables will be processed to the highest quality possible and remanufactured into new products in all market conditions. You can count on WM to be there for Cheyenne now and always.

In addition to recyclables processing, we have extensive experience and solid partnerships to manage the long-haul transportation of your community's recyclables if you so desire. Our longtime, trusted partner, Iron Woman Construction and Environmental Services LLC, is ready and willing to provide world-class transportation of your recyclables when necessary. Our goal is to provide you the solutions you need, when you need them, and to remain a trusted partner for the City of Cheyenne.

Thank you for the opportunity to participate in your selection of a recycling partner. We are eager to earn your business. I promise you that our team will go above and beyond to deliver best-in-class service to your community every day. Please do not hesitate to contact Curtis Gardner, your dedicated Public Sector Manager, at (720) 413-5511 or cgardne7@wm.com with any questions regarding our proposal.

Sincerely,

A handwritten signature in black ink, appearing to read 'Frank Santiago', is written over a horizontal line.

Frank Santiago | Area Director Public Sector Solutions | Waste Management of Colorado, Inc.

What is WM Doing to Help Keep Recycling Programs Sustainable?

Commitment to Post-Consumer Content

WM is the only company in the waste industry to sign on to the Association of Plastic Recyclers Demand Champion Program. Demand Champions commit to drive use of post-consumer recycled content in durable goods, such as waste carts, in an effort to expand the market for mixed residential plastics, thereby boosting recycling programs.

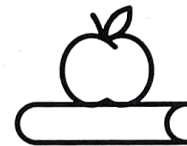


Investing in the Future Now

Over three decades we have invested more than \$1 billion in recyclables processing infrastructure alone, including more than \$220 million over the past two years in capital investments in our Material Recovery Facilities (MRFs). By 2023, 93 percent of all single stream recycled materials will be processed in new or upgraded MRFs with cutting edge recyclables processing technologies that maximize outbound quality of recyclable materials while minimizing operating expenses.

Educating Our Communities

WM has made a significant investment in our Recycle Right education program, which provides tailored tools for everyone from residents to businesses to educators as well as our government agencies on how to Recycle Right. Our investments in Recycle Right have helped reduce contamination by 30% over the past year.



WE ARE GROWING RECYCLING

Limiting Plastic Exports

Nearly 80 percent of paper and plastic recyclables WM collects are sold to domestic markets for processing and no plastics collected on our routes and processed at our single stream MRFs are sent outside North America. This limits export of plastics to countries that are not well-equipped to properly handle the materials. Sending plastic to such markets increases the likelihood of more plastics entering rivers, waterways, and oceans.



Partnerships to Forge the Path Ahead

WM's recycling partnerships help educate legislators, regulators, and the public on ways public policy can maximize the environmental benefits of recycling. Key partnerships include The Recycling Partnership, a nonprofit organization that works with government entities to implement effective programs; Keep America Beautiful, which works with local communities to help teach the fundamentals of recycling; and industry associations such as the National Waste and Recycling Association. These partnerships are important means to the sustainability of recycling over the long term.

A Better Solution for Organics

One-third of food goes uneaten across the globe and wasted food can add billions of tons of GHG emissions to the atmosphere. WM continues to utilize new technologies to extract economic and environmental value from these organic materials. In 2018, we processed more than 3.3 million tons of source-separated organic materials, including food waste and yard trimmings, which goes to facilities that create renewable energy or marketable compost and soil amendment products.





Table of Contents

a. Cover Letter.....	i
b. Price Proposal	4
Exhibit B Fee Schedule	4

B. PRICE PROPOSAL

Exceptional Service - Excellent Value

Provide a complete line item budget for all phases of the work listed in **Exhibit B**, with a breakdown of each phase, as necessary to complete the Project as specified in the RFP, its attachments and other documents referenced. Each proposer shall certify that its price proposal shall remain valid for a period of at least one hundred twenty (120) days. In the event that a contract award by the City is delayed beyond the 120-day period, such award shall be conditioned upon the proposer's acceptance.

Exhibit B Fee Schedule

EXHIBIT B FEE SCHEDULE

Explanations for the following service(s) can be found on Exhibit A, Section 2. If a service is not offered, please indicate with a N/A or NO.

Recycling Service(s)	Cost/Ton
Loose Filled Recyclables	See pricing matrix attached
Bailed Comingled Recyclables	N/A
Bailed Cardboard	See pricing matrix attached
Transportation Services (Contractor provided Truck)	Cost/Trip
Transfer Trailer provided by City	N/A
Transfer Trailer provided by Contractor	N/A

Can the Contractor accept material on Saturdays: Yes / No **YES**

When the City of Cheyenne chooses to deliver the material, we would continue to accept it at the Larimer County MRF at 5887 S. Taft Hill Rd., Ft. Collins, CO 80526. The pricing for that would be the posted gate rate.

For February 2022, the rate for delivered single stream material is \$22.89 per ton.

For January 2022, the rate for delivered single stream material is \$20.08 per ton.

Baled cardboard - WM has suggestions and options that would significantly increase the rebate to the City of Cheyenne.



City of Cheyenne

Request for Proposal #7-22 - Recycling Services

City of Cheyenne Single Stream Pricing						
			February-22			
Publication	Market		Grade	Price	Percentage	Value
Pulp & Paper (OBM)	Southwest/LA	High	Resi Fiber # 56	\$75	18.8%	\$14.10
Pulp & Paper (OBM)	Southwest/LA	High	OCC # 11	\$160	37.2%	\$59.57
Pulp & Paper (OBM)	Southwest/LA	High	Mixed Paper # 54	\$80	11.1%	\$8.91
Recyclingmarkets.net (SMP)	Pacific NW	Avg	Mixed HDPE	\$220	2.7%	\$5.85
Recyclingmarkets.net (SMP)	Houston/PNW	Avg	PET	\$270	4.3%	\$11.66
Recyclingmarkets.net (SMP)	Houston/PNW	Avg	Steel/Tin Cans	\$225	1.6%	\$3.49
Recyclingmarkets.net (SMP)	Pacific NW	Avg	Aluminum Cans	\$1,790	2.0%	\$36.60
Recyclingmarkets.net (SMP)	Pacific NW	Avg	Plastics 4 & 5	\$230	0.7%	\$1.58
Recyclingmarkets.net (SMP)	Pacific NW	Avg	Other Plastics	(\$40)	1.8%	(\$0.70)
	Actual		3 mix Glass	(\$23)	2.0%	(\$0.45)
			Residue	(\$40)	17.9%	(\$7.15)
					100.0%	\$133.45
> The index prices and rebate will be adjusted on a monthly basis. > If above indexes do not reasonably reflect actual market conditions, actual sales price for the grade may be utilized > The stream composition will be adjusted on a quarterly basis.						
Rebate/Tip Fee Calculation						
			To Franklin St			
Material Sales Value			\$	133.45		
Less base fee			\$	(100.00)		
Available Commodity Value			\$	33.45		
Customer rebate % (if positive)				50.0%		
Customer Rebate/(Tip Fee) per Net Ton			\$	16.73		
Excess Contamination Charge			\$	(6.50)		
Total Customer Rebate/(Tip Fee) per Ton			\$	10.23		
Tons Received						
Customer Rebate/(Tip Fee)			\$	-		

City of Cheyenne Baled OCC Pricing						
				February-22		
Publication	Market		Grade	Price	Percentage	Value
Pulp & Paper (OBM)	Southwest/LA	High	OCC # 11	\$160	100.0%	\$160.00
			Residue	(\$40)	0.0%	\$0.00
					100.0%	\$160.00

**ADDENDUM TO
PROFESSIONAL SERVICES AGREEMENT FOR
RECYCLING SERVICES**

This Addendum (the "Addendum") is incorporated into City Contract No. _____
(Professional Services Agreement for Recycling Services) (the "Contract").

1. **QUANTITY AND QUALITY:** During the term of the Contract, WM shall accept and City agrees to deliver City Single Stream Materials. City Single Stream Materials means materials collected by or on behalf of City from residents and entities in the City which have been source-separated from solid waste for the purpose of being recycled. Single Stream Materials includes both Recyclables and Non-Recyclables, as defined in Exhibit A of this Addendum. City will provide the Single Stream Materials in accordance with Exhibit A ("**Specifications**"). Single Stream Materials specifically exclude, and City agrees not to deposit or permit the deposit for collection of, any waste tires, radioactive, volatile, corrosive, flammable, explosive, biomedical, infectious, bio-hazardous, regulated medical or hazardous waste, toxic substance or material, as defined by, characterized or listed under applicable federal, state, or local laws or regulations, or chemical or other properties that are deleterious or capable of causing material damage to any part of WM's property, its personnel or the public or materially impair the strength or the durability of WM's structures or equipment, or any materials containing information (in hard copy or electronic format, or otherwise) which information is protected or regulated under any local, state or federal privacy or data security laws, including, but not limited to the Health Insurance Portability and Accountability Act of 1996, as amended, or other regulations or ordinances or other waste not approved in writing by WM (collectively, "**Excluded Materials**"). Title to and liability for Excluded Materials shall remain with City at all times. Title to Single Stream Materials provided by City to WM is transferred to WM upon WM's receipt or collection unless otherwise provided in this Agreement or applicable law. WM reserves the right at its sole discretion upon notice to City to discontinue acceptance of any category of Recyclables as a result of market conditions related to such materials and makes no representations as to the recyclability of the materials which are subject to the Contract.
2. **PAYMENTS; CHARGES; ADJUSTMENTS:** Upon receipt of an invoice, City shall pay for the services furnished by WM in accordance with the Contract, as such charges may be adjusted over the term of the Contract as noted herein (the "**Charges**"). State and local taxes, if applicable, will also be added. WM shall pay City for amounts owed pursuant to Exhibit B of the Contract on or about the last day of the following month. WM reserves the right to increase the Charges payable by City (i.e., Base/Processing Fee and Contamination Charges) or reduce the rebate to City during the term to cover increased costs due to uncontrollable circumstances, including, without limitation, changes in local, state or federal laws or regulations, imposition of taxes, fees or surcharges or acts of God such as floods, fires, hurricanes and natural disasters. In the event WM adjusts the Charges as provided in this Section, City and WM agree that this Agreement as so adjusted will continue in full force and effect for the

remaining term. Any City invoice balance not paid within thirty (30) days of the date of invoice is subject to a late fee of 1.5% per month. In the event that payment is not made when due, WM retains the right to suspend service until the past due balance is paid in full. In the event that service is suspended in excess of fifteen (15) days, WM may terminate this Agreement for such default and recover any equipment and containers.

3. VALUE SHARE PAYMENT/CHARGES.

- a. Where the blended value of the City's Single Stream Materials is greater than the Base/Processing Fee, City's value share is 50% of the difference between the blended value and the Base/Processing Fee and Excess Contamination Charges. When the blended value is less than the Base/Processing Fee, City shall pay WM the difference between the Base/Processing Fee and the blended value, plus the Excess Contamination Charges. See example in Exhibit B of the Contract regarding how the calculation will be done.
- b. To calculate the blended value per ton of Single Stream Materials, (a) the percentage of each Recyclable and Non-Recyclable component set forth below contained in the City's Single Stream Materials, as established and revised by quarterly audits, is multiplied by the current value of each commodity set forth below; and (b) Each commodity value per ton is added together to obtain the blended value per ton. City acknowledges that the value of a commodity may be negative.
- c. CPI Adjustment. WM has the right to adjust the Base/Processing Fee, Transfer Station Fee and Excess Contamination Charges on each anniversary of the Contract ("**Anniversary Date**"). Such CPI adjustment shall be effective on such Anniversary Date and shall be recalculated and effective each Anniversary Date thereafter. The CPI adjustments shall be based on the percentage increase in the CPI for the twelve (12) month period ending two months prior to the Anniversary Date. "**CPI**" means the Consumer Price Index-All Urban Consumers (CPI-U), Water, Sewer, and Trash Collection (WST), (Not Seasonally Adjusted, 12-month rolling average) as published by the United States Department of Labor, Bureau of Labor Statistics (1982-1984=100). In the event this CPI is no longer viable or no longer reflective of consumer prices in City's geographic region, another consumer pricing index or method of adjustment may be used as a replacement for the CPI, subject to the mutual agreement of the parties. Failure by WM to submit such CPI price adjustment shall not preclude the retroactive implementation of such adjustment as of the Anniversary Date.

SIGNATURES ON FOLLOWING PAGE

CITY OF CHEYENNE

Patrick Collins, Mayor

WASTE MANAGEMENT OF COLORADO, INC.

Scott Bradley, President

EXHIBIT A SINGLE STREAM MATERIALS SPECIFICATIONS

RECYCLABLES must be dry, loose (not bagged) and include ONLY the following:

Aluminum cans - empty	Newspaper
PET bottles with the symbol #1 – with screw tops only - empty	Mail
HDPE plastic bottles with the symbol #2 (milk, water bottles detergent, and shampoo bottles, etc.) – empty	Uncoated paperboard (ex. cereal boxes; food and snack boxes)
Plastics with the symbol #4 (LDPE) or #5 (PP)	Uncoated printing, writing and office paper
Steel and tin cans – empty	Old corrugated containers/cardboard (uncoated)
Glass food and beverage containers – brown, clear, or green – empty*	Magazines, glossy inserts and pamphlets

NON-RECYCLABLES include, but are not limited to the following:

Plastic bags and bagged materials (even if containing Recyclables)	Microwavable trays
Mirrors	Window or auto glass
Light bulbs	Coated cardboard
Porcelain and ceramics	Plastics not listed above including but not limited to those with symbols #3, #6, #7 and unnumbered
Expanded polystyrene	Coat hangers
Glass and metal cookware/bakeware	Household appliances and electronics,
Hoses, cords, wires	Yard waste, construction debris, and wood
Flexible plastic or film packaging and multi-laminated materials	Needles, syringes, IV bags or other medical supplies
Food waste and liquids, containers containing such items	Textiles, cloth, or any fabric (bedding, pillows, sheets, etc.)
Excluded Materials or containers which contained Excluded Materials	Napkins, paper towels, tissue, paper plates, paper cups, and plastic utensils
Any paper Recyclable materials or pieces of paper Recyclables less than 4” in size in any dimension	Propane tanks, batteries
Cartons	Aseptic Containers

DELIVERY SPECIFICATIONS:

Single Stream Materials delivered by or on behalf of City may not contain more than 20% Non-Recyclables or any Excluded Materials.

WM may reject in whole or in part, or may process, in its sole discretion, Single Stream Materials not meeting the specifications, including wet materials, and City shall pay WM for all costs, losses and expenses incurred with respect to such non-conforming Single Stream Materials including costs for handling, processing, transporting and/or disposing of such non-conforming Single Stream Materials which charges may include an amount for WM's operating or profit margin (“**Cost**”). Without limiting the foregoing, and City shall pay a contamination charge for additional handling, processing, transporting and/or disposing of Non-Recyclables, Excluded Materials, and/or all or part of non-conforming loads and additional charges may be assessed for bulky items such as appliances, concrete, furniture, mattresses, tires, electronics, pallets, yard waste, propane tanks, etc.